

Paradiem

The Morning Brief

JULY 30, 2026

Azure Rescues

Microsoft's 43% Azure print and \$100B FY26 milestone reset the AI-capex debate into Thursday's PCE / GDP double-drop and AAPL / AMZN after close as Meta's capex-floor lift and Wednesday's Dow rout frame the tape.

S&P 500 (WED)	NASDAQ (WED)	BRENT (BNO WED)	MSFT (POST-CLOSE)	FEAR & GREED
\$729.46 · ↓1.54% · broad give-back into Fed	\$661.73 · ↓2.04% · chips led decline	\$50.43 · ↑7.89% · strike resumption repriced pause	Approx. ↑7–8% AH per CNBC · Azure ↑43% CC	CNN 37 · Fear per CNN · data drop crypto fallback 28

Markets — Microsoft's Azure Acceleration to Approximately 43% Constant-Currency Growth With FY26 Azure Revenue Crossing \$100B for the First Time per CNBC Rescues the AI-Capex Debate After the Close and Sends S&P 500 / Nasdaq Futures Materially Higher Into the 8:30 AM ET June PCE and Q2 GDP Advance Estimate Double-Drop; Meta's FY26 CapEx Floor Lift to \$130B on an EPS Miss Sends Its Shares Down Approximately 10% AH per CNBC and Frames the Split Read on Hyperscaler Return-on-CapEx

THE WEDNESDAY AFTER-CLOSE PRINT SEQUENCE DELIVERED A CLEAN SPLIT — MSFT BEAT WITH AZURE APPROXIMATELY 43% CONSTANT-CURRENCY GROWTH AGAINST A GUIDED 39%–40% AND HELD CALENDAR-2026 CAPEX AT APPROXIMATELY \$175B PER CNBC WHILE META MISSED EPS AT \$6.18 VS. APPROXIMATELY \$7.22 CONSENSUS AND RAISED THE FY26 CAPEX FLOOR TO \$130B (RANGE \$130B–\$145B) PER CNBC; PRE-MARKET FUTURES TRADED APPROXIMATELY +0.9% S&P 500 AND +1.2% NASDAQ PER BENZINGA

Per CNBC and TradingKey coverage of the Wednesday after-close print, Microsoft reported fiscal Q4 2026 revenue of approximately \$90.01B against consensus near \$87.62B and Azure grew approximately 43% at constant currency versus the company's guided 39%–40% range — a print that pushed shares approximately ↑7–8% after hours per CNBC and Investing Live coverage. Per CNBC, calendar-2026 capex is approximately \$175B with FY27 capex framed at approximately the same level, with CFO Amy Hood emphasizing that spending plans are unchanged and the higher figure reflects a lease accounting reclassification. Per CNBC and Microsoft investor materials cited across the coverage, FY26 Azure revenue crossed \$100B for the first time (approximately ↑41% year-over-year) and commercial remaining performance obligation grew approximately 84% to approximately \$678B — a demand signal Hood characterized as continuing to exceed available supply. Per CNBC coverage of the Meta print, EPS came in at \$6.18 versus consensus near \$7.22 (miss of approximately \$1.04) on revenue of approximately \$60.80B, and Meta raised the low end of its FY26 capex range to \$130B from \$125B (upper bound unchanged at \$145B) — a composition that pushed META shares down approximately 10% after hours per CNBC. Per Benzinga coverage of the Thursday pre-market tape, S&P 500 futures traded approximately ↑0.9% and Nasdaq futures approximately ↑1.2% as the Microsoft print offset the Meta reaction. For FCI positioning, Wednesday's cash-session composition delivered a broad give-back per the data drop — S&P 500 closed ↓1.54% at \$729.46, Nasdaq ↓2.04% at \$661.73, Dow ↓2.18% at \$515.41, Russell 2K ↓1.64% at \$288.57 — with the chip cohort under continued pressure: LRCX ↓6.40% at \$252.35 (post-print), QCOM ↓4.42% at \$155.68 (post-print), CRDO ↓7.71% at \$177.45, NXPI ↓7.00% at \$240.98, AMD ↓5.51% at \$429.56, MRVL ↓6.34% at \$163.40, TSM ↓4.50% at \$374.67. The MSFT capex affirmation and Azure acceleration could partially reverse the chip-cohort reset into the Thursday open, though the Meta capex-floor lift on an EPS miss keeps the sustainability question live for the return-on-capex debate that has framed the multi-week AI-capex reset.

MSFT POST- CLOSE	Approx. $\uparrow 7\text{--}8\%$ AH per CNBC · Rev \$90.01B beat \$87.62B · Azure $\uparrow 43\%$ CC beat 39–40% guide
MSFT CAPEX FRAMING	Calendar–2026 approx. \$175B · FY27 approx. same per CNBC · Hood: plans unchanged
MSFT AZURE FY26	Crossed \$100B for first time · approx. $\uparrow 41\%$ Y/Y · cRPO approx. \$678B (+84%)
META POST- CLOSE	Approx. $\downarrow 10\%$ AH per CNBC · EPS \$6.18 miss vs. \$7.22 est · Rev \$60.80B beat
META CAPEX FLOOR	FY26 range raised to \$130B–\$145B from \$125B– \$145B per CNBC
PRE-MARKET FUTURES	S&P 500 futures approx. $\uparrow 0.9\%$ · Nasdaq futures approx. $\uparrow 1.2\%$ per Benzinga
WED SECTOR ROTATION	XLI $\downarrow 3.19\%$ · XLK $\downarrow 2.64\%$ · XLF $\downarrow 1.60\%$ vs. XLE $\uparrow 1.88\%$ · XLP $\uparrow 0.34\%$
CARSON'S SPY SUPPORT	\$645.80 active · Wed range \$729.10– \$742.68 · not hit

THE FOMC DELIVERED A 9–3 HOLD AT 3.50%–3.75% WITH THREE REGIONAL BANK PRESIDENTS DISSENTING IN FAVOR OF A 25BPS HIKE PER FORBES AND CNN — THE FIRST THREE-WAY DIRECTIONAL DISSENT SINCE 2016 PER YAHOO COVERAGE OF THE WARSH PRESSER; TLT CLOSED $\downarrow 1.65\%$ AT \$82.85 AS THE LONG END SOLD OFF ALONGSIDE A MATERIALLY REPRICED ENERGY BACKDROP

Per Forbes, CNN, and Yahoo coverage of the Wednesday FOMC decision, the FOMC held the target range at 3.50%–3.75% for the fifth consecutive meeting, with a 9-3 vote and dissents from Cleveland Fed President Beth Hammack, Minneapolis Fed President Neel Kashkari, and Dallas Fed President Lorie Logan — each preferring a 25bps hike. Per Yahoo coverage, this marks the first time since 2016 that three policymakers dissented with a unified directional view. Per Yahoo Finance coverage of the presser, Chair Kevin Warsh acknowledged the split with the framing that he had asked for a “good family fight,” and per CNN coverage, the meeting statement left investors with limited September guidance despite the derivatives complex continuing to imply a meaningful probability of a September hike. Per data drop, TLT closed $\downarrow 1.65\%$ at \$82.85 as the long end sold off on the hawkish-hold framing and the energy pass-through composition, and per Reuters headline coverage cited in the data drop, the Treasury sell-off continued after the divided Fed held rates. For the FCI Dividend and Utility sleeves, Wednesday’s composition — ADP $\uparrow 3.48\%$ at \$273.37 (post-print beat),

SYK $\uparrow 1.63\%$ at \$352.25 (into today’s pre-market print), CVX $\uparrow 2.28\%$ at \$191.86, CNX $\uparrow 1.46\%$ at \$34.70 (into today’s print), OKE $\uparrow 1.35\%$ at \$90.00, ATO $\downarrow 0.95\%$ at \$177.67, CEG $\downarrow 0.72\%$ at \$257.95 — showed a bifurcated read as the payroll-processor and utility-adjacent names held modestly against the broad give-back while the rate-sensitive Utility sleeve absorbed a partial repricing on the TLT weakness. **Simplicity Over Complexity.**

THE 8:30 AM ET JUNE PCE AND Q2 GDP ADVANCE ESTIMATE LAND TOGETHER AT THE SAME RELEASE WINDOW PER BEA SCHEDULE COVERAGE — CONSENSUS FRAMES CORE PCE NEAR 3.3% YEAR-OVER-YEAR (DOWN FROM MAY’S 3.4%) PER TRUFULATION / BANK OF AMERICA AND Q2 GDP BETWEEN APPROXIMATELY 1.5% (ATLANTA FED GDPNOW) AND 2.5% (KALSHI / POLYMARKET PRICING); THE OVERNIGHT IRAN ESCALATION REPRICES THE ENERGY PASS-THROUGH DEBATE FOR THE FOLLOWING PRINT

Per BEA release schedule cited across Trufulation, Bank of America, and PIPTHEORY preview coverage, the June PCE Personal Income and Outlays report is scheduled for 8:30 AM ET Thursday alongside the Q2 GDP advance estimate at the same release window. Per Trufulation coverage, headline PCE is projected to hold flat month-over-month with the annual rate cooling slightly to approximately 3.7%, and Core PCE is expected at approximately +0.2% month-over-month and 3.3% year-over-year (down from May’s 3.4%, the highest since October 2023 per PIPTHEORY framing). Per Bank of America economists cited in the preview coverage, headline PCE could decrease approximately 0.05% month-over-month with Core at approximately +0.16% month-over-month for a 3.3% year-over-year read. Per Atlanta Fed GDPNow tracker cited in the preview coverage, the Q2 GDP advance estimate is tracking near 1.54% at an annual rate, while Kalshi / Polymarket pricing and Philadelphia Fed Professional Forecasters have anchored expectations closer to 2.0%–2.5% — a wide dispersion band that keeps the print materially market-moving in either direction. For the FCI framework, the June PCE observation captures only the mid-month energy pass-through from the Iran conflict before the Monday-Tuesday retrace and the Wednesday overnight resumption of kinetic activity, so the July print (releasing late August) will provide the cleaner read on any sustained energy pass-through to the headline series. **Think Like an Owner.**

The Microsoft Azure acceleration and CapEx affirmation could catalyze a partial merchant-silicon retrace into the Thursday open even as the Meta CapEx-floor lift on an EPS miss keeps the return-on-CapEx question live, and the 8:30 AM ET PCE / GDP double-drop into the AAPL / AMZN print night frames the tape against a Fed decision that delivered its first three-way directional dissent since 2016. Research Reveals Opportunities.

SECTION 02

Geopolitics — The Wednesday US-Iran Escalation Delivered a “Heavy Wave” of US Strikes Against Iranian Targets per US Central Command via CNBC After Iran Fired Ballistic Missiles at US Forces per Washington Post — Brent Repriced Approximately +7% on the Session per CNBC and Iran’s IRGC Reaffirmed Strait of Hormuz Control per CNBC Coverage; Shell Reported Q2 Profits More Than Doubled to \$9.8B on the Iran War’s Oil / Gas Repricing per Reuters

PER CNBC, WASHINGTON POST, BLOOMBERG, AND CNN COVERAGE OF THE WEDNESDAY-OVERNIGHT-THURSDAY TAPE, US FORCES COMPLETED A “HEAVY WAVE” OF STRIKES AGAINST IRANIAN TARGETS STATESIDE WEDNESDAY IN RETALIATION FOR IRAN’S BALLISTIC MISSILE ATTACK ON US FORCES (ALL INTERCEPTED PER US CENTCOM); IRAN VOWED TO “PUNISH THE AGGRESSOR TODAY” PER CNBC AND THE IRGC REAFFIRMED “FULL CONTROL” OF THE STRAIT OF HORMUZ PER THE SAME COVERAGE

Per CNBC coverage of the Wednesday-Thursday tape, US forces completed what CENTCOM characterized as a “heavy wave” of strikes against Iranian targets stateside Wednesday, described by CNBC as retaliation for Iran’s missile attacks on US forces in the region. Per Washington Post coverage, the US strikes came in response to a surprise ballistic missile launch from Iran targeting a US military base. Per CNN Live coverage of the Wednesday tape, President Trump framed the retaliation as “our turn” after the intercepted Iranian attack, and per CNBC coverage of the Thursday tape, Iran stated it will “punish the aggressor today” following the US action. Per Bloomberg coverage cited across the Wednesday tape, Saudi Arabia’s participation in US-coordinated strikes against Iran-backed militias in Iraq continued the widened sovereign-participation architecture referenced in prior briefs. Per CNBC coverage of the Thursday tape, Iran’s Revolutionary Guard reaffirmed that it maintains “full control” of the Strait of Hormuz — a framing that keeps the chokepoint tail risk live. Per data drop, Brent (BNO) closed Wednesday ↑7.89% at \$50.43 and WTI (USO) ↑7.32% at \$129.31, and per Reuters coverage cited in the data drop, oil rose in volatile trade as the US resumed attacks on Iran. Per Reuters coverage cited in the data drop, QatarEnergy purchased 33 US LNG cargoes to offset Hormuz disruption and a QatarEnergy-controlled LNG tanker exited Hormuz for the first time in nearly three weeks — a physical-flow indicator that the chokepoint disruption architecture continues to reshape LNG trade patterns. For the FCI Upstream and Defense sleeves, Wednesday’s composition — CVX ↑2.28% at \$191.86, CNX ↑1.46% at \$34.70 (into today’s pre-market print), OKE ↑1.35% at \$90.00, LMT ↓2.08% at \$569.20, GD ↓3.11% at \$380.96 — showed the Upstream sleeve absorbing the crude repricing bid while the Defense sleeve gave back on the broader risk-off session composition. **The physical world matters.**

SHELL’S Q2 PROFIT MORE THAN DOUBLED TO APPROXIMATELY \$9.8B ON THE IRAN WAR’S OIL / GAS REPRICING PER REUTERS — A SOVEREIGN-SCALE PHYSICAL-CASH-FLOW SIGNAL THAT VALIDATES THE FCI UPSTREAM POSITIONING FRAMEWORK AGAINST THE WIDENED MIDDLE EAST ATTACK SURFACE

Per Reuters coverage cited in the data drop headlines, Shell’s Q2 profit more than doubled to approximately \$9.8B as the Iran war boosted oil and gas prices — a print that validates the

physical-cash-flow framework the FCI Upstream sleeve has anchored across recent briefs. Per the same Reuters coverage, the Iran war’s repricing of the crude complex has flowed through to integrated-major cash flows even amid the volatile front-month price action, and the QatarEnergy 33-cargo US LNG purchase referenced above indicates the natural-gas complex is repricing alongside the crude repricing. For the FCI Upstream sleeve, CVX ↑2.28% at \$191.86 into a materi-

ally widened cash-flow tape, CNX ↑1.46% at \$34.70 into its today pre-market print with data drop consensus at \$0.60 EPS, and OKE ↑1.35% at \$90.00 — the composition indicates the physical-cash-flow rerating that Sunday-Monday’s retrace had appeared to fade is being restored session-by-session as the kinetic sequence widens. Per BofA coverage cited in the data drop, the firm reportedly turned on Exxon in favor of Chevron — a rotation call consistent with the FCI positioning framework that has anchored CVX as the Upstream sleeve’s core position. **Avoid Erosion.**

US STRIKES WED	“Heavy wave” against Iranian targets stateside per CENTCOM via CNBC
IRAN MISSILE ATTACK	Ballistic missiles at US forces, all intercepted per US CENTCOM · Iran vows “punish today” per CNBC
TRUMP FRAMING	“Our turn” after intercepted Iranian attack per CNN Live
STRAIT OF HORMUZ	IRGC reaffirms “full control” per CNBC coverage of Thursday tape
BRENT (BNO WED)	\$50.43 · ↑7.89% per data drop · WTI (USO) \$129.31 · ↑7.32%
SHELL Q2 PROFIT	Approx. \$9.8B · more than doubled per Reuters · Iran war repricing
QATARENERGY LNG	Bought 33 US LNG cargoes to offset Hormuz disruption per Reuters exclusive
QE TANKER EXIT	QatarEnergy-controlled LNG tanker exits Hormuz, first in nearly three weeks per Reuters

SECTION 03

On Our Radar

1. AAPL / AMZN After the Close Tonight — Consensus Places AAPL EPS Near \$1.93 per TipRanks / Data Drop and AMZN Near \$1.82 EPS on Approximately \$196.25B Revenue per TipRanks; The MSFT Azure Acceleration Sets the AWS / iCloud Read for the Second Half of the Hyperscaler Print Week. Per TipRanks and Wall Street Breakfast preview coverage cited across the week, Apple (AAPL) reports fiscal Q3 2026 after the close Thursday with consensus at approximately \$1.93 EPS per data drop, and Amazon (AMZN) reports after the close with consensus at approximately \$1.82 EPS on approximately \$196.25B revenue. The MSFT Azure acceleration to approximately 43% constant-currency growth resets the read for AWS growth trajectory, and Meta’s capex-floor lift on an EPS miss provides the counter-read on hyperscaler capex sustainability. For the FCI framework, the Apple / Amazon prints will provide the direct read on iPhone / Services growth (relevant to the TSM / QCOM AI-edge silicon narrative) and AWS growth / capex framing (relevant to the merchant-silicon and utility-AI-power sleeves), and any AMZN capex affirmation could compound the MSFT Azure signal into a materially different Friday tape than Wednesday’s composition implied. *Research Reveals Opportunities.*

2. FCI Reporting Today — SYK Pre-Market (Approximately \$3.52 EPS per Data Drop), CNX Pre-Market (Approximately \$0.60 EPS), EIX Pre-Market (Approximately \$1.17 EPS); The Wednesday After-Close FCI Cohort Delivered Five Beats and One Miss (QCOM) With Divergent Price Reactions. Per data drop consensus, three FCI names report Thursday pre-market: Stryker (SYK) at approximately \$3.52 EPS into a Wednesday close of \$352.25 ↑1.63% — the stock outperformed materially against the broad sell-off; CNX Resources (CNX) at approximately \$0.60 EPS into a Wednesday close of \$34.70 ↑1.46% amid the crude repricing bid; Edison International (EIX) at approximately \$1.17 EPS into a Wednesday close of \$78.63 ↓1.45% alongside the broader Utility sector (XLU) give-back. Per data drop, Wednesday’s FCI print cohort delivered a mixed composition — ADP EPS \$2.64 vs. \$2.62 beat (stock ↑3.48% at \$273.37); FTNT EPS \$0.90 vs. \$0.76 beat (stock ↑2.16% at \$153.22); LRCX EPS \$1.82 vs. \$1.72 beat (stock ↓6.40% at \$252.35 as the print landed into the chip-cohort reset); HOOD EPS \$0.62 vs. \$0.45 beat (stock ↓3.15% at \$89.84 amid the crypto / consumer-financial give-back); SOFI EPS \$0.12 vs. \$0.11 beat (stock ↓8.90% at \$15.25 — the sharpest FCI beat-and-give-back of the session); QCOM EPS \$2.21 vs. \$2.27 miss (stock ↓4.42% at \$155.68 into the AI-capex reset). The composition indicates the beat-and-give-back pattern remains asymmetric — a beat without an outlook upgrade can trigger material selling in the current tape. *Think Like an Owner.*

3. The Digital-Asset Sleeve Absorbed a Second Consecutive Session of Give-Back Alongside a Historic Mining-Cohort Reset — HUT ↓12.81% at \$88.18, MARA ↓11.69% at \$10.05 per Data Drop; IBIT ↓0.39% at \$36.00 and ETHA ↓1.73% at \$14.24 Held Materially Better Than the Miner Composition.

Per data drop, the Wednesday session delivered a sharp reset in the mining cohort with HUT ↓12.81% at \$88.18 and MARA ↓11.69% at \$10.05 — the two worst FCI movers on the day — while the Bitcoin and Ethereum ETF composition held materially better (IBIT ↓0.39% at \$36.00, ETHA ↓1.73% at \$14.24). Per Benzinga coverage cited in the data drop, Core Scientific priced \$3.3B of 7.75% senior secured notes due 2031 to repay debt and fund data-center projects across four states — a capital-structure event that reshapes the miner-to-AI-datacenter transition narrative referenced across recent briefs and provides context for the mining-cohort sell-off. The composition indicates the spot BTC / ETH exposure sleeves may hold up materially better than the miner sleeve in the current rate / risk composition, and the HOOD Wednesday give-back (↓3.15% at \$89.84 despite the EPS beat) alongside the consumer-financial cohort (SOFI ↓8.90%) reinforces the caution around retail-flow-linked crypto adjacents. *The physical world matters.*

4. The Fed's 9-3 Hold With Three Regional Bank Presidents Dissenting for a Hike Frames a Materially Different Setup Into September Than the Sunday-Tuesday Base Case Implied — The Composition Reinforces the Higher-for-Longer Positioning That Has Anchored the FCI Dividend and Utility Sleeves.

Per Forbes, CNN, and Yahoo coverage of Wednesday's FOMC, the 9-3 hold with Hammack (Cleveland), Kashkari (Minneapolis), and Logan (Dallas) dissenting for a 25bps hike reinforces the framing that the September meeting is genuinely live for a hike rather than a cut. Per CNN coverage, the meeting statement offered limited September guidance, and Chair Warsh's presser characterization of the dissent as a "good family fight" per Yahoo Finance signals institutional acceptance of the split composition. For the FCI Dividend sleeve, Wednesday's composition — ADP ↑3.48%, SYK ↑1.63%, CVX ↑2.28%, OKE ↑1.35%, CL ↑0.82%, ABT ↑0.68% — held modestly against the broad give-back, a composition consistent with the higher-for-longer framing continuing to draw incremental flow into cash-flow-anchored positioning. The 30-year end weakness (TLT ↓1.65% at \$82.85) suggests the term-structure repricing may continue to weigh on the pure-duration Utility exposures while supporting the Dividend and Upstream sleeves' relative composition. *Simplicity Over Complexity.*

5. The Physical AI Infrastructure Sleeve Faces a Split Read From MSFT / META — MSFT's Approximately \$175B

Calendar-2026 CapEx and Azure Acceleration Support the Utility-AI-Power Load-Growth Signal (VST, CEG, NEE) While Meta's Return-on-CapEx Question May Weigh on Sentiment.

Per CNBC coverage of the Wednesday after-close prints, MSFT's calendar-2026 capex at approximately \$175B and CFO Hood's framing that demand continues to exceed available supply reinforces the load-growth signal that has anchored the FCI utility-AI-power thesis. Per data drop, Wednesday's composition — VST ↓3.92% at \$142.81, CEG ↓0.72% at \$257.95, NEE ↓0.92% at \$88.46, EIX ↓1.45% at \$78.63 — gave back alongside the broader utility sector (XLU ↓1.34%) on the TLT weakness, but the MSFT capex affirmation could catalyze a partial retrace at the Thursday open as the merchant-silicon and load-growth sleeves reprice. Per data drop, ServiceNow (NOW) held Wednesday ↑4.65% at \$115.76 as the top FCI mover, and per Yahoo coverage cited in the data drop, the ServiceNow CEO discussed AI enterprise workflow adoption — a composition consistent with workflow-AI names sitting apart from the capex-guidance debate. *The physical world matters.*

6. Carson's SPY Support Remains Untouched Through Wednesday's Session — Intraday Range of \$729.10–\$742.68 Sits Well Above the \$645.80 Retracement Target per levels.json; The Pre-Committed Deployment Tranches Remain the Operative Discipline Rather Than Any Single-Catalyst Impulse.

Per levels.json, Carson's active SPY support at \$645.80 — the retracement target set April 13 — remains untouched through Wednesday's \$729.10–\$742.68 intraday range per the data drop and sits well-removed from the overnight tape. The prior major resistance zone at \$691.90–\$693.20 was cleared on April 14 per levels.json and is not a live reference point. For the FCI risk framework, the Wednesday broad-market give-back (S&P ↓1.54%, Dow ↓2.18%, Nasdaq ↓2.04%), the Fed's three-way directional dissent, the widened Iran attack surface, and the AAPL / AMZN print night reinforce that the pre-committed deployment tranches — 70% of reserves at –25% drawdown and the remaining 30% at –40% drawdown — remain the operative discipline rather than any impulse response to a single-catalyst repricing. *Research Reveals Opportunities.*